

and careful analysis, but you cannot eliminate it. The reason that any investment pays out a higher rate of return is because it must do so to attract the needed capital.

For instance, an insured CD or a government note may pay 7 percent, while an equivalent corporate bond may pay 10 to 12 percent. Why does a corporate bond pay a higher interest rate than a government note? Because the risk in corporate bonds is higher than in government notes. Before investing in anything riskier than an insured savings account, you need to ask yourself this fundamental question: "Can I really afford to take this risk?"

The answer to that question normally depends on two factors: age and purpose. The older you are, the less the risk you can afford to take, because it's more difficult to replace the money. But if the purpose of the money is for retirement or education and both are still years away, you can probably afford to take a higher risk. However, if you need the investment funds to live on right now, then you need the lower risk, regardless of age.

If you are evaluating an investment with a relatively low return, then your risk should be proportionately low as well. Treasury bills, treasury bonds, certificates of deposit, and the like will yield a relatively low rate of interest, but they also will have a relatively low degree of risk, at least under normal economic circumstances.

If you find an investment that promises a high rate of return but advertises a low degree of risk, watch out; there's no free lunch. As Proverbs 14:18 says, "The naive inherit folly, but the prudent are crowned with knowledge."

26 KEY #4: KEEP SOME ASSETS DEBT-FREE

As a general rule, I believe you should keep at least 50 percent of all your investments debt-free. This also assumes you are following the guidelines of Key #2 and you accept no surety. In other words, the money you have at risk in the